difference in shareholder returns. The past actions of any management team, whether in their current or previous roles, are perhaps the most reliable guide to future behavior. Alignment of their incentives with the interests of shareholders is also crucial.

In addition to running the business well, managers have many other ways to positively impact investor returns. These include timely share repurchases, prudent use of leverage, and astute acquisitions. Managers who are unwilling to make shareholder-friendly decisions risk their companies turning into "value traps." They may be undervalued but ultimately poor investments, because the assets are likely to remain underutilized and cash flows may be squandered. Such underperforming companies should not necessarily be shunned, however, because those firms often attract activist investors seeking to join the board, change management, improve decision-making, and unlock value. Investors must also decide whether to take the risk of investing—at any price—with management teams who seemingly put their own interests ahead of those of shareholders. While the shares of such companies may sell at a steep discount, the discount may be warranted because the value that belongs to the equity holders today may instead be spirited away or squandered tomorrow. In other words, the actual future cash flow generation cannot be included in a discounted cash flow analysis because those cash flows will never find their way to the investor.

Ultimately, valuation is as much an art as it is a science, and judgment is constantly required. An investor's analytical, left-brain skills must be married to her softer, right-brain skills so she can add nuance and alternative perspectives to her rigorous analysis. In the end, the most successful value investors bear in mind this inherent imprecision as they combine detailed business research and valuation work with endless discipline and patience, deep curiosity, intellectual honesty, and optimally, the judgment that comes with years of analytical and investment experience.